

from the budgeted 6.4 per cent of GDP in FY23 to 4.5 per cent by FY26. Interest payments already account for a significant share of net receipts of the government, having risen from an average share of 34.6 per cent over FY15-FY20 to an average of 39.3 per cent over FY21-FY23. An expected lower subsidy outlay in FY24 will open up room for additional spends on the discretionary, development-related items, particularly central schemes at the state level.

Yet, the need for higher expenditures is likely to continue be strong, given that many segments of Bharat enterprise have still not fully recovered from the Covid-19-induced shocks and will need state support to resume operations. In addition, the rate of increase in tax revenue collections—both direct and GST—is likely to be lower in FY24, given that nominal GDP growth and revenue buoyancy are likely to be lower than in FY23. Hence, additional non-tax revenue options will assume greater importance.

Second, the composition of expenditure (between revenue and capital) must be calibrated to keep aggregate demand at non-inflationary levels, yet supported at levels that do not result in rapid growth deceleration, since that may result in multiple economic and financial problems. Calibration is difficult in the context of the uncertain response of economic activity during the current phase of monetary policy tightening. But insights gleaned from tax receipts, particularly the real-time signals from GSTN, can make economic and fiscal forecasts more precise.

The Union Budgets of FY22 and FY23 have been notable for the significant increases in capex spends budgeted—₹5.9 lakh crore and ₹7.5 lakh crore, respectively—and this trend should be sustained in the FY24 Budget, although the increment may be smaller given

the revenue constraints. A further rationalisation of direct tax structures is also awaited since a gradual reduction in the effective tax burden is important for both increasing discretionary incomes to boost domestic household demand, and to make India Inc. more competitive.

Given the continuing vulnerability of lower-income households, the existing initiatives to provide social safety nets and access to economic opportunities will need to be reinforced. Hopefully, on this, stable commodity prices and falling input costs will provide a long runway in planning the Budget. An expansion of the scope of insurance-based social security schemes and the guarantees and backstops

etisation pipeline will be needed to finance the capex plans. Expediting a pipeline of viable projects can induce high capex growth and productivity multipliers, enabling sustainable growth.

State governments now spend as much or more than the central government on capital budgets. It is a worry that the states' capex spends (as a percentage of Budget estimates) have been lower during April-October in FY23 (33 per cent) than a year ago (42 per cent). This is expected to rise in the March quarter on the back of larger disbursements of total capital projects-related long-term loans of ₹1 lakh crore announced in the FY23 Budget.

In conclusion, since the onset

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for more credit to MSMEs will be the most cost-effective boost for demand and commerce.

Third, as a follow-on to the second, the best way to support non-inflationary growth is to increase capital expenditure. A Reserve Bank of India report from early 2022 estimated that the fiscal multiplier for capex spends was significantly higher than for revenue spends. Another more recent RBI report notes, "Waning input cost pressures, still buoyant corporate sales and a turn-up in investments in fixed assets are heralding the beginning of an upturn in the capex cycle in India which will contribute to a speeding up of growth momentum in the Indian economy". The Budget needs to nurture this nascent investment and growth momentum. Non-tax revenue enhancement measures including accelerating the asset mon-

of the pandemic, the government's policy response has demonstrated fiscal discipline and an increased focus on capital expenditure and other policy incentives. This strategy must, in large part, be credited for India's present outperformance in comparison to the unwarranted and large fiscal stimulus packages in many other countries that has resulted in the current macro-economic imbalances there. This careful balancing of the multiple objectives outlined above is likely to be continued. At this stage, even small incremental improvements are likely to have an outsized positive impact in supporting the domestic economy, even as the global outlook looks increasingly bleak. **BT**

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